NASDAQ: ARTW

Art's-Way Manufacturing

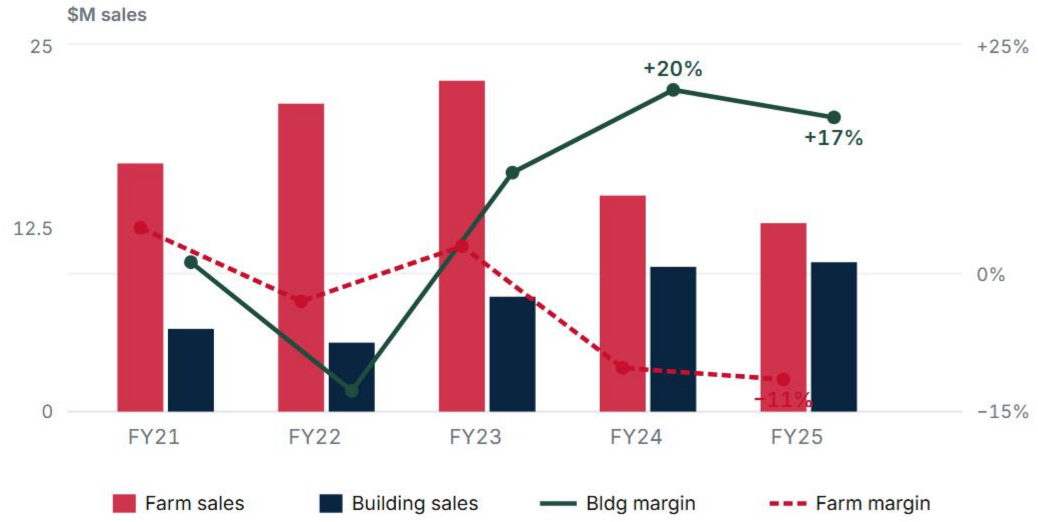
A cyclical farm-equipment maker contains a growing, 17%-margin builder of research and biosecurity labs. Buy control, sell off the farm equipment to clear the debt, and own the lab builder.

Two business segments are moving in opposite directions.

Farm equipment (Agricultural Products) is cyclical and was lossmaking in FY24–25; the lab builder (Art's-Way Scientific) has grown sales every year at a 17% margin.

SALES (FY25)	ENTERPRISE VALUE	OPERATING MARGIN	FAMILY VOTING CONTROL
$23.0M	$19.8M	1.3%	51.5%
−6.2% vs prior year	$13.4M equity + $6.4M net debt		

SEGMENT SALES ($M, LEFT) AND OPERATING MARGIN (%, RIGHT), FY21–FY25



The lab builder's sales **rose every year to a 17% margin** on almost no assets; farm equipment is **cyclical and lost money in FY24–25**. The blended 1.3% margin masks both.

Sources: ARTW FY2025 10-K (Statements of Operations, Note 17 Segments; 500 dealers / geography Item 1); FY2022 10-K (FY21–22 segment data) · 2026 DEF 14A (ownership) · yfinance coverage/float snapshot 2026-05-30.

Seventy years of narrowing to one strong business: lab building.

Family-controlled since 2002, the company keeps exiting weaker segments to concentrate on the lab unit it launched in 2006 — now 150+ facilities delivered.

WHAT THE COMPANY KEPT AND EXITED, 1956–2024

- **1956** — Founded by farmer Arthur Luscombe, Dolliver, Iowa
- **1974** — Initial public offering
- **2002** — McConnell family takes control
- **2006** — Art's-Way Scientific (modular labs) launched
- **2016–23** — Exits Vessels & Tools to refocus
- **2024** — Marc McConnell named President & CEO

MODULAR CUSTOMERS: NONE OVER 10% OF SALES

UC Davis	MD Anderson	Stanford
ADM	Honeywell	Stowers

Farm-equipment customers are grain & livestock producers reached through 500 independent dealers.

FOOTPRINT: TWO IOWA PLANTS

ARMSTRONG: HQ & FARM EQUIPMENT
249,000 sq ft

MONONA: ART'S-WAY SCIENTIFIC LABS
50,000 sq ft · built 2007

WHAT ART'S-WAY SCIENTIFIC BUILDS: 150+ FACILITIES TO DATE

BSL-3 CONTAINMENT LABS
15+
High-containment labs rated for dangerous pathogens, delivered in 6 months.

VIVARIUMS
20+
Research-animal housing for universities, pharma & government labs.

ANIMAL-BIOSECURITY BARNS
$500M
USDA on-farm biosecurity cost-share funding demand for biosecure buildings.

Sources: ARTW FY2025 10-K (customer concentration 9%, none >10%; properties Armstrong/Monona; 150+ facilities / 20+ vivariums / 15+ BSL-3) · Art's-Way Scientific case studies (named clients) · company history. Client logos shown illustratively.

A fragmented niche of a $20B modular construction market.

The building business has two legs in distinct sub-markets: a $4.3B global modular-cleanroom market for research labs, and US agricultural building for animal biosecurity.

US MODULAR CONSTRUCTION MARKET SIZE

MARKET	SIZE (2024)	GROWTH
US modular construction	$20.3B (2024)	4.5%/yr
↳ Modular cleanroom, research labs (global)	$4.3B	6.9%/yr
↳ Animal-biosecurity buildings (US)	no clean TAM	ag building 5%/yr

RESEARCH LABORATORIES (60% OF THE BUILDING BUSINESS)

Custom $1M–$5M buildings: high-containment BSL-3 labs (rated for dangerous pathogens) and vivariums (buildings for housing research animals). Sub-market: $4.3B global modular cleanrooms.
Buyers: research universities, drug companies, and government public-health labs.

ANIMAL-BIOSECURITY BUILDINGS (40% OF THE BUILDING BUSINESS)

Buildings that keep disease out of swine, livestock, and poultry operations. This is part of the modular building business you keep, not the farm equipment you sell. This leg grew building sales by **$1.355M in FY25**. No clean US dollar TAM exists; ag building grows 5%/yr.
Buyers: hog, poultry, and livestock producers.

Sources: US modular construction $20.3B (2024), 5.1% of US construction, 4.5% CAGR: Modular Building Institute / FMI (third-party estimates run higher, to $25.6B at 7.6%: IMARC) · global modular cleanroom $4.3B (2024) → $6.4B (2030), 6.9% CAGR: Strategic Market Research; broader global cleanroom construction $11.7B by 2030: Research and Markets · steel ag building 5%/yr: Metal Construction News · North America farm-biosecurity products $3.8B (2024) as a demand proxy: Growth Market Reports · ARTW FY2025 10-K (+$1,355K ag-building sales).

Art's-Way builds a containment lab in about six months.

Delivery in roughly six months, plus the engineering to meet containment codes, is why the segment earns 17% where general modular builders earn about 7%.

01 A record of finished, specialized buildings.

More than 20 vivariums, more than 15 BSL-3 containment labs, and over 150 buildings delivered, for buyers including UC Davis, MD Anderson, ADM, and the Stowers Institute.

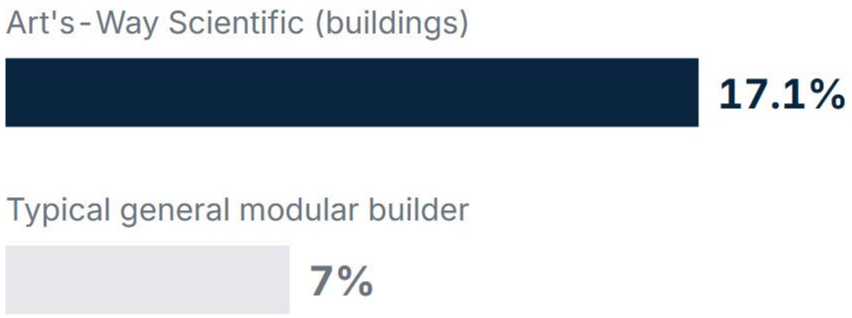
02 Speed is what customers pay for.

Delivery in about six months versus two to five years for a conventional design-and-build project. That matters most to research labs on a deadline and to farms responding to a live disease outbreak.

03 Meeting containment codes is hard to copy.

The 10-K lists the barriers to entry: containment engineering, trained labor, access to the bidding process, and existing customer relationships. The real biocontainment-modular competitors are CERTEK and Germfree; WillScot and BOXX (formerly Vanguard) are modular-leasing businesses, not custom-lab fabricators.

OPERATING MARGIN: THIS SEGMENT VERSUS GENERAL MODULAR BUILDERS



The roughly 10-point gap reflects specialized work, not low-bid commodity building.

WHAT THE MARGIN SUPPORTS FOR VALUE

The speed and containment work support about 8× operating earnings, in line with project-based specialty builders (Limbach's project era 9.5×) and below the 10× construction-sector median. That is well under the 12–14× of a leasing business like WillScot, which collects recurring rent; the closest pure-play peers (CERTEK, Germfree) are private.

Sources: ARTW FY2025 10-K Item 1 (customers, delivery speed, barriers to entry), Note 17 (17.1% modular operating margin) · construction-modular 7% weighted EBITDA margin: McKinsey · biocontainment comps CERTEK, Germfree · peer set: `data/research/artw/peer_benchmarks.csv` / `peer_notes.md`.

On a control basis it's worth $2.95 versus $2.58 today.

The search-fund approach: buy a fixable niche leader from a family willing to sell, with book value protecting the entry.

01 Farm equipment is a low-return, capital-heavy segment to divest.

It lost money in FY24–FY25 (−$1.46M) and ties up $19.2M of assets, mostly inventory, though it returned to profit in Q1 FY26 on a cyclical upturn. The case is capital allocation: ag earns little on heavy assets while the building business earns 17% on almost none.

02 The building business earns 17% on $3.3M of assets.

Sales rose every year, $7.8M → $9.8M → $10.2M, at a 17% operating margin, and backlog was up 103% as of February 2026. Inside the combined company it competes for capital with a loss-making farm segment.

03 At about book value, the price assumes the business stays as it is run today.

Assets also protect the downside: current ratio 2.30×, long-term debt $2.73M below working capital $8.34M (both safety tests pass), net current assets $1.08/share.

IN ONE SENTENCE

Net of the farm assets, you buy the lab builder at **8× operating earnings**, a fair price with book value near the entry. The return grows as the buyer sells off the farm equipment, repays the debt, and the market values the lab business on its own.

Sources: ARTW FY2025 10-K (segment Note 17, backlog Item 1) · SOTP & returns build: `data/research/artw/model.md` §v3 · 2026 DEF 14A (coverage/ownership).

Three execution risks to the return. The asset floor still caps the loss.

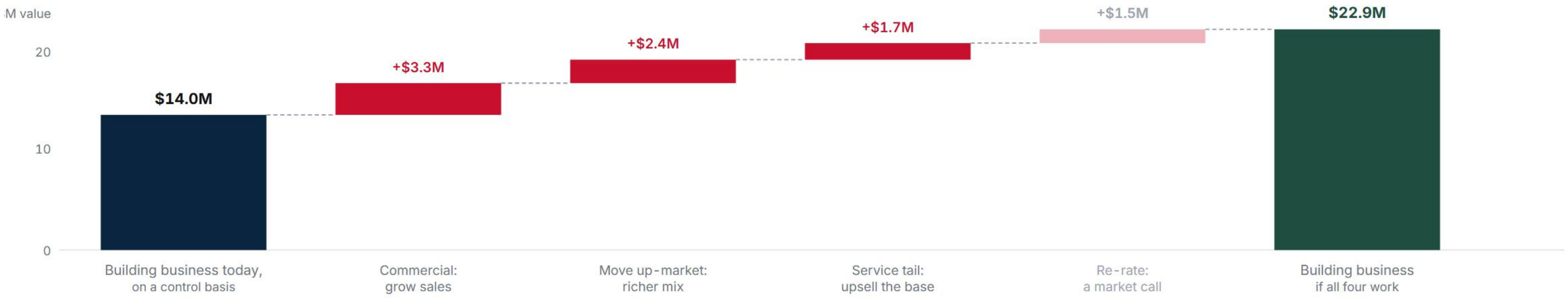
Each is a way one part of the plan fails, but the acquisition debt stays covered by collateral — so each one hits the return, not your capital.

RISK	SEVERITY	MITIGATION	WHAT WOULD PROVE IT REAL
Selling the farm business slowly or for too little	HIGH	Buy near book, so the assets backstop the price; wind it down in an orderly sale, not a fire sale.	Ag inventory not converting to cash, or recovery below 60%.
The founder leaves and customer relationships don't transfer	MED	Make retention part of the deal: keep the family and president on, and map the key accounts in diligence.	Named accounts (UC Davis, Stowers) lapse after the founder steps back.
Margins dilute as the modular business scales	MED–HIGH	Stay at the high end, where scarcity protects margin; price over volume; add the recurring service tail.	Modular operating margin below 12% for a full year.

Sources: Risk sizing & kill criteria: `model.md` §5 (sensitivity tornado), §9, §v4d · ag-inventory recovery / $2.39M reserve on aged whole-goods (auditor Critical Audit Matter): FY2025 10-K · founder/president & family control: 2026 DEF 14A (McConnell group 51.5%), FY25 10-K MD&A · margin-at-scale benchmark (Exyte 7% cleanroom-EPC): `biocontainment_comps.md` / `model.md` §v4a.

Four levers add about $9M to the building business.

Three operator levers — sales, mix, and a recurring service tail — plus a smaller market re-rating take the building business from about $14.0M to $22.9M.



COMMERCIAL

Build a real sales engine

Backlog doubled under a part-time president with no sales director: demand is outrunning selling capacity. A real head of sales should lift growth from 2–3% toward 6–8% a year.

MIX SHIFT

Move up-market

BSL-3 and GMP labs build at 2–3× the cost per square foot of a barn, at higher margins. Shifting the mix to high-end containment lifts blended operating margin from 17% toward 19–21%; the split is undisclosed, so this is an estimate.

SERVICE TAIL

Upsell the installed base

Every BSL-3 and GMP building must be re-certified yearly. ARTW built 150+ of them, so it can resell recertification and monitoring back to its own base in a fragmented $7B services market.

RE-RATE

A market call, not an action

A standalone, faster-growing biocontainment builder may earn a higher multiple than it does inside a microcap conglomerate, toward the 10× sector median. The market decides this, not the operator, so we size it smallest.

Sources: Bottom-up driver model (benchmarked) and the four-lever build ($14.0M → $22.9M): `data/research/artw/model.md` §v4, §v3b, §8 · sales-engine uplift (founder-led 2–3% → 6–8% CAGR; win-rate +15–25%): CSO Insights + lower-mid-market professionalization · up-market mix (BSL-3/GMP 2–3× the $/sq ft of vivariums): Cushman & Wakefield / CBRE life-sciences fit-out · ARTW FY2025 10-K (advertising $97K, president part-time / sales director MD&A; backlog +103%) · installed-base monitoring upsell: `iot_monitoring_research.md` § re-analysis. The high- vs low-end leg split is undisclosed; the mix lever is an estimate.

Over five years, $12M of equity becomes $43M.

Four phases: buy and clean up, build the sales engine, add the monitoring product and tuck-in deals, then exit a focused, debt-free lab business.

THE PLAN, IN FOUR PHASES

FIRST 100 DAYS

Agree the purchase with the family; stop farm capital spending; plan the inventory sale.

YEAR 1

Wind down the farm segment and repay the debt; hire a sales manager; sign a first monitoring partnership.

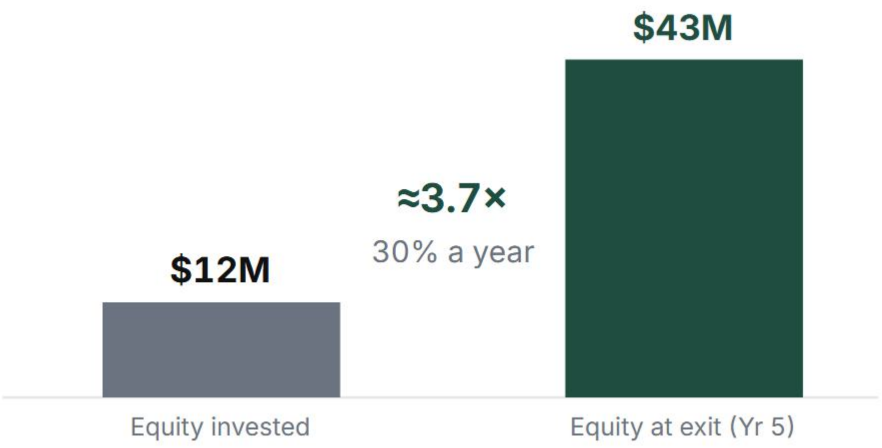
YEARS 2–3

Add the monitoring product; make a first small acquisition; win private and government buyers.

END STATE

A focused lab business: about $13–15M of sales, a recurring service line, debt-free.

SPONSOR EQUITY: INVESTED TODAY VS. AT EXIT



Sources: Sponsor return (sources & uses, debt schedule, exit): `data/research/artw/ARTW_model.xlsx` (LBO_Returns) · `model.md` §v3d, §8 · ARTW FY2025 10-K (Tools/Vessels divestitures Note 1; backlog +103% Item 1). Full sensitivity lives in the model.

Control-basis fair value $2.95, with an asset floor.

Sum-of-the-parts, cross-checked with a DCF on the building segment and farm assets at recovery value, with both Graham safety tests passing.

CONTROL-BASIS FAIR VALUE VS. TODAY'S PRICE

TODAY'S PRICE
$2.58

FAIR VALUE (CONTROL BASIS)
$2.95
+14% above the price

BOOK VALUE
$2.57
downside backstop

5-YEAR SEGMENT HISTORY ($M); FY21–22 INCLUDE THE DIVESTED TOOLS UNIT

	FY21	FY22	FY23	FY24	FY25
Farm sales	16.8	20.9	22.5	14.7	12.7
Building sales	5.7	4.7	7.8	9.8	10.2
Building op. profit	+0.07	−0.60	+0.87	+1.97	+1.75

HOW FAIR VALUE ADDS UP ($M)

Building business, on its own	$14.0
+ Farm assets, after selling	$7.7
– Net debt	($6.4)
= Equity, or $2.95/sh	**$15.3**

Control-basis (WACC 12.5%, 8×): DCF $14.5M / 8× $13.6M → $14.0M blend. Fully diluted $2.70/sh.

WHAT COMPARABLE BUSINESSES ARE WORTH

REFERENCE	× EARNINGS
Project-based specialty (Limbach, project era)	9.5×
Construction sector median	10×
WillScot (modular leasing, a ceiling)	11.7–14.5×
Used here	**8×**

ASSETS PROTECT THE DOWNSIDE

Current ratio **2.30×** and long-term debt $2.73M below working capital $8.34M, passing both tests. Net current assets $1.08/sh and book value $2.57 ≈ the price: a hard floor under the equity.

Sources: Full valuation build (SOTP, DCF on cash taxes, sensitivity, Graham tests): `data/research/artw/model.md` §1–§5 + §v3 (control-basis recalibration) · ARTW FY2025 10-K (segment Note 17, balance sheet, cash-flow) · FY2022 10-K (FY21–22 segment history) · peer multiples `peer_benchmarks.csv`; construction-sector median / WSC leasing ceiling per peer notes (a separately-screened, non-industry name was considered and excluded).

AI is leverage, but only under strict control and clear examples of good.

Every number here was rebuilt from the filings; the full prompt log is in `docs/prompt-log.md`, as the case requires.

TOOLS

- **Claude Code** (Claude Opus) for the analysis and this deck.
- **Financial-data APIs** pulled into structured reports (SEC filings, market data).
- **Web search** for industry, market, and comparable research.

WHERE AI HELPED

- Parsed a large volume of filings and data quickly.
- Generated the research reports and ran the models.
- Taught me unfamiliar industries and valuation concepts.
- Explored many angles, sectors, and approaches to valuation.

WHERE AI FELL SHORT

- It over- or under-indexes on small things and loses the big picture.
- With so much data in front of it, it struggles to step back and apply plain common sense.
- Without a method or a view already in mind, the volume of analysis confuses more than it clarifies.

The lesson: AI needs strict control, iteration, and clear examples of what good looks like. Then it saves real time and creates leverage, but only after the upfront manual work of gathering the right references and building those examples, which is what keeps you from correcting errors later.

Sources: `docs/prompt-log.md` (full prompt log) · `data/research/artw/model.md` changelog (review iterations) · `CLAUDE.md` working conventions (AI disclosure, no-hardcoded-benchmarks, verification & citation discipline).